For example, when investors accept stock market returns as being derived from a type of actuarial table, they won't be prepared for the risks that arise from the inevitable variability of investment returns and the inevitable uncertainty of speculative returns. As a result, they are apt to make unwise asset allocation decisions under the duress—or the exuberance—of the moment. Pension plans that make this mistake will have to step up their funding when reality intervenes. When investors base their retirement planning on actually achieving whatever returns the financial markets had provided in the past and then tacitly ignore the staggering toll taken by intermediation costs and taxes (to say nothing of inflation), they save a pathetically small portion of what they ought to be saving to assure a comfortable retirement.

Another example of the real-world consequences: Our financial system has, in substance, challenged our corporations to produce earnings growth that is, in truth, unsustainable. When corporations fail to meet their numeric targets the hard way—over the long term, by raising productivity; by improving old products and creating new ones; by providing services on a more friendly, more timely, and more efficient basis; and by challenging the people of the organization to work more effectively together (and those are the ways that our best corporations achieve success)—they are compelled to do it in other ways: ways that often subtract value from you, from me, and from society.

Finance Calls the Tune for Business

One of these ways, of course, is an aggressive mergers and acquisitions strategy. Even leaving aside the commonplace that most mergers fail to achieve their goals, the companies that followed these strategies were well described in a 2002 *New York Times* op-ed essay as "serial acquirers [whose] dazzling number of deals makes an absence of long-term management success easy to hide." Tyco International, one of the most notorious examples of the modern era, acquired 700 companies before the day of reckoning